Business Environment & Ethics - Set 3

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. A company must comply with Section 135 CSR provisions if its net profit in the preceding financial year is at least

A. Rs 50 lakh
B. Rs 1 crore
C. Rs 5 crore
D. Rs 10 crore

2. When the government makes laws and rules to control business activity it acts as a

A. Promoter
B. Entrepreneur
C. Consumer
D. Regulator

3. Which sector has shown the fastest growth in the post-reform period?

A. Services sector
B. Agriculture sector
C. Mining sector
D. Handicrafts sector

> **Case:** The Consumer Club in Ernakulam: Residents of an Ernakulam colony form a consumer club. They organise awareness camps on reading labels and bills, help neighbours file complaints and plan special programmes on 15 March and 24 December.

4. Teaching residents to read labels and bills promotes the right to:

A. Hoard goods
B. Consumer education (awareness)
C. Seek profit
D. Avoid tax

5. Per capita income is calculated by

A. Multiplying national income by population
B. Dividing exports by imports
C. Dividing national income by population
D. Adding wages and profits

6. After liberalisation, industrial licensing was retained only for industries related to

A. All consumer goods
B. All textile units
C. All services
D. Security, safety and environmental concerns

7. Liberalisation means

A. Increasing licence requirements
B. Removing unnecessary government controls and restrictions on business
C. Raising import tariffs
D. Nationalising banks

8. The Competition Act, 2002 aims to

A. Prevent anti-competitive practices
B. Encourage monopolies
C. Control prices of all goods
D. Regulate stock exchanges

9. Fairness in business means

A. Equal profits for all

B. The lowest price always
C. Favouring friends
D. Impartial and just treatment of all stakeholders

> **Case:** Banking and Tax Reforms: After 1991, private banks were allowed to enter the sector, banking rules were relaxed on the recommendations of a high-level committee, customs duties were reduced and tax rates were simplified. Domestic firms found that imported goods became cheaper and competition increased.

10. Lower tariffs forced domestic firms to:
A. Stop production
B. Improve efficiency and quality to face competition
C. Depend entirely on the government
D. Ignore consumers Practices

11. Honesty in business means
A. Maximising sales
B. Being truthful and not deceiving stakeholders
C. Keeping all information secret
D. Following orders blindly

12. The WTO replaced the
A. IMF
B. World Bank
C. GATT
D. UNCTAD

> **Case:** Anil's Overheating Phone: Anil buys a Rs. 40,000 phone through an online marketplace. After two weeks the phone overheats and catches fire, causing him minor burns. The seller refuses a refund and blames the manufacturer. Anil decides to take legal action under the consumer law in force.

13. Anil should first approach the:
A. National Commission directly
B. SEBI
C. Competition Commission of India
D. District Consumer Commission

14. Giving a tax holiday to firms setting up in backward areas is an example of the government's ___ role.
A. Promotional
B. Regulatory
C. Judicial
D. Auditing

> **Case:** Hindustan Hotels: A Public Sector Sale: The government decides to sell its majority stake in Hindustan Hotels Corporation, a loss-making public sector firm, along with management control, to a private company. The government says the aim is to raise funds and improve efficiency. A different public sector undertaking, in atomic energy, remains under state control.

15. The government's stated aims for the sale are:
A. To raise funds and improve efficiency
B. To expand the licensing system
C. To increase the fiscal deficit
D. To reduce competition

16. Solar and wind power are examples of
A. Fossil fuels
B. Nuclear fuels
C. Renewable energy
D. Non-renewable energy

> **Case:** FreshBite Foods: FreshBite Foods, a start-up selling packaged snacks, tracks competitor launches, changing consumer tastes, food-safety rules and raw material prices every month before deciding on new products. Last quarter this tracking helped it launch a millet-based snack just before health-conscious demand surged, while a larger rival that ignored the trend lost sales.

17. The larger rival's loss of sales shows its failure to:
A. Maintain accounting records

B. Adapt to environmental change
C. Train its employees
D. Design attractive packaging

18. The growth of e-commerce which changed the way retail works is mainly a result of
A. Demographic change
B. Religious change
C. Political change
D. Technological change

> **Case:** Foreign Capital and the Law: A foreign carmaker sets up a plant in India. In 1991 the government had allowed automatic approval for foreign equity up to 51 per cent in 34 high-priority industries. Later, the strict Foreign Exchange Regulation Act, 1973 (FERA) was replaced by a more liberal law aimed at facilitating external trade and payments.

19. The 1991 automatic approval for foreign equity was up to:
A. 100% in all sectors
B. 26% in all sectors
C. 0%, as no foreign equity was allowed
D. 51% in 34 high-priority industries

20. Corporate governance refers to
A. The system by which companies are directed and controlled
B. Government control of companies
C. Marketing strategy
D. Employee training

21. The Wildlife (Protection) Act was passed in
A. 1972
B. 1980
C. 1986
D. 2002

22. ISO 26000 provides guidance on
A. Quality management
B. Food safety
C. Information security
D. Social responsibility

23. Which of the following is an example of an internal weakness?
A. A new government subsidy
B. Rising market demand
C. Lower interest rates
D. Obsolete machinery

> **Case:** Industrial Planning in the 1950s: A researcher studying Indian industry in the 1950s finds that the state set up steel plants through public sector companies, required private firms to obtain licences under the Industries (Development and Regulation) Act, 1951, and followed Five-Year Plans. The Industrial Policy Resolution of 1956 divided industries into three schedules, and the Second Plan stressed heavy industry.

24. The Second Five-Year Plan (1956-61) laid special emphasis on:
A. Services exports
B. Financial liberalisation
C. Rapid industrialisation, especially heavy industry
D. Software development

> **Case:** BuildRight and the Permit: A sales manager at BuildRight, a construction firm, pays a municipal officer a sum of money to clear a building permit quickly. A junior colleague learns of this. The company's ethics policy forbids any payment to officials for favours.

25. The most appropriate action for the junior colleague is to:
A. Stay silent
B. Ask for a share
C. Tell competitors
D. Report the matter through the company's ethics or whistle-blowing channel

26. Environmentally responsible practices adopted by firms include
A. Dumping waste in rivers
B. Ignoring emission norms
C. Using more single-use plastic
D. Waste recycling and use of renewable energy

27. Import substitution means
A. Importing more goods
B. Producing at home the goods that were earlier imported
C. Banning exports
D. Exporting raw materials

> **Case:** Alpha Pharma's Finance Director: The finance director of Alpha Pharma learns of an unannounced merger that will push up the share price. Before the news is public, he buys shares through his brother and makes a large profit. An employee who learns of it reports the matter through the company's confidential reporting channel.

28. Why is the act unethical?
A. He paid taxes on profits
B. He invested in shares
C. He followed the law strictly
D. He used non-public, price-sensitive information for unfair gain

> **Case:** Meridian Infotech: A Fraud Revealed: The chairman of Meridian Infotech admits that for years the company's profits were inflated and bank balances were falsified in its accounts. The case resembles the Satyam scandal of 2009. Investors lose heavily, and regulators tighten rules on boards and auditors.

29. Who should be held answerable in such a case, along with the chairman?
A. Customers
B. Competitors
C. Directors and auditors who failed in their duties
D. Suppliers

30. Knowledge of business environment helps managers mainly in
A. Strategic planning and decision making
B. Calculating depreciation
C. Preparing payroll
D. Fixing the colour of the logo

> **Case:** Banking and Tax Reforms: After 1991, private banks were allowed to enter the sector, banking rules were relaxed on the recommendations of a high-level committee, customs duties were reduced and tax rates were simplified. Domestic firms found that imported goods became cheaper and competition increased.

31. The simplification and rationalisation of tax rates helped to:
A. Increase tax evasion
B. Abolish all taxes
C. Impose import quotas
D. Improve tax compliance and reduce complexity

32. Giving shareholders a fair return and transparent reporting is a responsibility towards
A. Shareholders
B. Consumers
C. Suppliers
D. The community

33. Firms that continuously monitor their environment generally
A. Lose market share
B. Adapt better and improve performance
C. Avoid all risks
D. Face no competition

34. The Industrial Policy Resolution of 1956 classified industries into
A. Two schedules
B. Three schedules
C. Five schedules
D. Seven schedules

> **Case:** PureLeaf's Eco-Friendly Claim: PureLeaf advertises its packaging as '100% eco-friendly' although only 10 per cent of the packaging is recycled material. A consumer group complains. The company later cuts plastic use and publishes an independently verified sustainability report.

35. The advertisement violates which ethical principle most directly?

A. Cost efficiency
B. Brand loyalty
C. Market segmentation
D. Honesty and transparency

36. Which expenditure does NOT qualify as CSR?

A. Women empowerment programmes
B. Activities meant exclusively for the company's own employees and families
C. Health camps for villagers
D. Tree plantation drives

37. A hallmark on jewellery certifies the purity of

A. Rice
B. Gold
C. Medicines
D. Cement

38. The main motive of production in a capitalist economy is

A. Social welfare
B. Equal distribution
C. Profit
D. Employment generation

> **Case:** Water at the Railway Station: At a railway station, a shopkeeper sells a bottle of packaged drinking water with a printed MRP of Rs. 20 for Rs. 30, saying 'take it or leave it'. A traveller objects and says the bottle also does not show any food safety licence number.

39. The authority concerned with food safety standards such as licence numbers is:

A. FSSAI
B. SEBI
C. TRAI
D. IRDAI

> **Case:** SafeBrake's Defective Batch: A quality inspector at SafeBrake Ltd finds that a batch of brake parts is defective. His manager tells him to ship the batch anyway to meet a deadline. The inspector reports the matter through the company's vigil mechanism and the batch is stopped.

40. The inspector's decision to report, despite pressure, shows:

A. Disloyalty without cause
B. Integrity
C. Profit motive
D. Lack of discipline

> **Case:** Inflation Control Measures: Inflation in an economy has risen to 7 per cent. The central bank raises the repo rate. The Finance Ministry cuts excise duty on fuel to ease prices. Meanwhile, the securities market regulator tightens disclosure rules for listed companies to protect investors.

41. The increase in the repo rate is an instrument of:

A. Fiscal policy
B. Industrial policy
C. Monetary policy
D. Trade policy

42. The NITI Aayog replaced the Planning Commission in

A. 2010
B. 2005
C. 2015
D. 2018

> **Case:** Skyline BPO: A Complaint at Work: An employee at Skyline BPO complains that her manager repeatedly makes unwelcome remarks and advances. The firm has more than ten employees. It must now follow the law on sexual

harassment at the workplace and ensure that the complaint is handled fairly.

43. The law governing such complaints, enacted in 2013, is the:

A. Industrial Disputes Act
B. Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act
C. Payment of Wages Act
D. Consumer Protection Act

Case: Sundaram Auto Components: Sundaram Auto Components, a Pune-based manufacturer, supplies parts to large carmakers. Its machines are outdated, but its workforce is highly skilled and loyal, and its mission stresses quality. Recently a new emission rule has pushed carmakers to demand cleaner components, a rival has begun selling similar parts at lower prices, and a weaker rupee has raised the cost of imported steel.

44. The rise in imported steel cost due to the weaker rupee is mainly a:

A. Macro-economic (external) factor
B. Controllable internal factor
C. Strength in a SWOT analysis
D. Factor of organisational culture

45. Fair compensation and rehabilitation for people displaced by a project reflects

A. Cost cutting
B. Tax planning
C. Lobbying
D. Social responsibility towards the community

46. Faster industrialisation after reforms has increased pressure on the

A. Money supply only
B. Language
C. Calendar
D. Environment through pollution and resource use

47. A qualifying company must spend on CSR at least ___ of its average net profits of the preceding three financial years.

A. 1%
B. 2%
C. 5%
D. 10%

Case: BuildRight and the Permit: A sales manager at BuildRight, a construction firm, pays a municipal officer a sum of money to clear a building permit quickly. A junior colleague learns of this. The company's ethics policy forbids any payment to officials for favours.

48. The payment to the municipal officer is an example of:

A. A discount
B. A trade commission
C. Bribery
D. Sales promotion

Case: The Handloom Village and the City: A village handloom cooperative is losing customers to cheaper imported fabrics and large brands. In the same period, urban software professionals see their incomes rise sharply, while rural incomes grow slowly. Critics say the reforms have benefited some regions and groups much more than others.

49. The uneven growth across regions after the reforms is a concern of:

A. Perfect competition
B. Full employment
C. Fiscal surplus
D. Regional disparity

50. The Legal Metrology Act, 2009 regulates

A. Stock exchanges
B. Foreign exchange
C. Environmental clearance
D. Weights and measures used in trade

Answer key - Set 3

1. **C**	11. **B**	21. **A**	31. **D**	41. **C**
2. **D**	12. **C**	22. **D**	32. **A**	42. **C**
3. **A**	13. **D**	23. **D**	33. **B**	43. **B**
4. **B**	14. **A**	24. **C**	34. **B**	44. **A**
5. **C**	15. **A**	25. **D**	35. **D**	45. **D**
6. **D**	16. **C**	26. **D**	36. **B**	46. **D**
7. **B**	17. **B**	27. **B**	37. **B**	47. **B**
8. **A**	18. **D**	28. **D**	38. **C**	48. **C**
9. **D**	19. **D**	29. **C**	39. **A**	49. **D**
10. **B**	20. **A**	30. **A**	40. **B**	50. **D**

Answers with explanations

1. A company must comply with Section 135 CSR provisions if its net profit in the preceding financial year is at least

Answer: C. Rs 5 crore

Why correct: CSR applies when net profit is Rs 5 crore or more.

A is wrong: Rs 50 lakh is too low.

B is wrong: Rs 1 crore is too low.

D is wrong: Rs 10 crore is above the limit.

2. When the government makes laws and rules to control business activity it acts as a

Answer: D. Regulator

Why correct: Making rules to control business is the regulator's role.

A is wrong: A promoter encourages business.

B is wrong: An entrepreneur runs enterprises.

C is wrong: A consumer buys.

3. Which sector has shown the fastest growth in the post-reform period?

Answer: A. Services sector

Why correct: The services sector grew fastest after reforms.

B is wrong: Agriculture grew slowly.

C is wrong: Mining grew slowly.

D is wrong: Handicrafts did not lead.

4. Teaching residents to read labels and bills promotes the right to:

Answer: B. Consumer education (awareness)

Why correct: Teaching label and bill reading promotes consumer education.

A is wrong: There is no right to hoard.

C is wrong: Seeking profit is not a consumer right.

D is wrong: Avoiding tax is not a right.

5. Per capita income is calculated by

Answer: C. Dividing national income by population

Why correct: Per capita income = national income / population.

A is wrong: Multiplying is wrong.

B is wrong: Exports/imports is trade balance.

D is wrong: Wages plus profits is partial income.

6. After liberalisation, industrial licensing was retained only for industries related to

Answer: D. Security, safety and environmental concerns

Why correct: Licensing stayed only for security, safety and environmental concerns.

A is wrong: Consumer goods were delicensed.

B is wrong: Textiles were delicensed.

C is wrong: Services were not licensed.

7. Liberalisation means

Answer: B. Removing unnecessary government controls and restrictions on business

Why correct: Liberalisation removes unnecessary controls on business.

A is wrong: More licences is the opposite.

C is wrong: Higher tariffs is the opposite.

D is wrong: Nationalisation is state takeover.

8. The Competition Act, 2002 aims to

Answer: A. Prevent anti-competitive practices

Why correct: The Competition Act, 2002 prevents anti-competitive practices.

B is wrong: It discourages, not encourages, monopolies.

C is wrong: It does not control all prices.

D is wrong: Stock exchanges are regulated by SEBI.

9. Fairness in business means

Answer: D. Impartial and just treatment of all stakeholders

Why correct: Fairness is impartial and just treatment of all stakeholders.

A is wrong: Equal profits are not the meaning.

B is wrong: Lowest price is not the meaning.

C is wrong: Favouring friends is unfair.

10. Lower tariffs forced domestic firms to:

Answer: B. Improve efficiency and quality to face competition

Why correct: Lower tariffs forced firms to improve efficiency and quality.

A is wrong: They did not stop production.

C is wrong: They had to stand on their own.

D is wrong: They had to attend to consumers.

11. Honesty in business means

Answer: B. Being truthful and not deceiving stakeholders

Why correct: Honesty means being truthful and not deceiving stakeholders.

A is wrong: Maximising sales is a goal.

C is wrong: Secrecy is not honesty.

D is wrong: Blind obedience is not honesty.

12. The WTO replaced the

Answer: C. GATT

Why correct: The WTO replaced GATT.

A is wrong: The IMF still exists.

B is wrong: The World Bank still exists.

D is wrong: UNCTAD still exists.

13. Anil should first approach the:

Answer: D. District Consumer Commission

Why correct: Claims up to the pecuniary limit start at the District Consumer Commission.

A is wrong: The National Commission handles very high claims.

B is wrong: SEBI regulates securities.

C is wrong: CCI regulates competition.

14. Giving a tax holiday to firms setting up in backward areas is an example of the government's ___ role.

Answer: A. Promotional

Why correct: A tax holiday to encourage investment is a promotional role.

B is wrong: Regulatory makes rules.

C is wrong: Judicial settles disputes.

D is wrong: Auditing checks accounts.

15. The government's stated aims for the sale are:

Answer: A. To raise funds and improve efficiency

Why correct: The aims are raising funds and improving efficiency.

B is wrong: It does not expand licensing.

C is wrong: It aims to reduce the deficit.

D is wrong: It aims to increase competition.

16. Solar and wind power are examples of

Answer: C. Renewable energy

Why correct: Solar and wind are renewable energy.

A is wrong: They are not fossil fuels.

B is wrong: They are not nuclear fuels.

D is wrong: They are renewable, not non-renewable.

17. The larger rival's loss of sales shows its failure to:

Answer: B. Adapt to environmental change

Why correct: The rival lost sales because it ignored the trend - it failed to adapt.

A is wrong: Accounting records are not the issue.

C is wrong: Training is not the issue.

D is wrong: Packaging is not the issue.

18. The growth of e-commerce which changed the way retail works is mainly a result of

Answer: D. Technological change

Why correct: E-commerce grew because of technology and the internet.

A is wrong: Demographic change is population.

B is wrong: Religious change is cultural.

C is wrong: Political change is government.

19. The 1991 automatic approval for foreign equity was up to:

Answer: D. 51% in 34 high-priority industries

Why correct: In 1991 automatic approval was given for foreign equity up to 51% in 34 high-priority industries.

A is wrong: 100% in all sectors came later.

B is wrong: 26% in all sectors is not the figure.

C is wrong: Foreign equity was allowed.

20. Corporate governance refers to

Answer: A. The system by which companies are directed and controlled

Why correct: Corporate governance is the system by which companies are directed and controlled.

B is wrong: That is government control.

C is wrong: That is marketing.

D is wrong: That is training.

21. The Wildlife (Protection) Act was passed in

Answer: A. 1972

Why correct: The Wildlife (Protection) Act was passed in 1972.

B is wrong: 1980 is the Forest Act.

C is wrong: 1986 is the EPA.

D is wrong: 2002 is the Biodiversity Act.

22. ISO 26000 provides guidance on

Answer: D. Social responsibility

Why correct: ISO 26000 gives guidance on social responsibility.

A is wrong: ISO 9001 is quality management.

B is wrong: ISO 22000 is food safety.

C is wrong: ISO 27001 is information security.

23. Which of the following is an example of an internal weakness?

Answer: D. Obsolete machinery

Why correct: Obsolete machinery is a weakness inside the firm.

A is wrong: A subsidy is an external opportunity.

B is wrong: Rising demand is an external opportunity.

C is wrong: Lower interest rates are an external opportunity.

24. The Second Five-Year Plan (1956-61) laid special emphasis on:

Answer: C. Rapid industrialisation, especially heavy industry

Why correct: The Second Plan stressed rapid industrialisation, especially heavy industry.

A is wrong: Services exports were not the focus.

B is wrong: Financial liberalisation came in 1991.

D is wrong: Software came much later.

25. The most appropriate action for the junior colleague is to:

Answer: D. Report the matter through the company's ethics or whistle-blowing channel

Why correct: The colleague should report through the ethics or whistle-blowing channel.

A is wrong: Staying silent lets it continue.

B is wrong: Asking for a share is complicity.

C is wrong: Telling competitors is disloyal.

26. Environmentally responsible practices adopted by firms include

Answer: D. Waste recycling and use of renewable energy

Why correct: Recycling and renewable energy are responsible practices.

A is wrong: Dumping waste in rivers is harmful.

B is wrong: Ignoring norms is illegal.

C is wrong: More single-use plastic harms the environment.

27. Import substitution means

Answer: B. Producing at home the goods that were earlier imported

Why correct: Import substitution means producing at home what was imported.

A is wrong: Importing more is the opposite.

C is wrong: Banning exports is not it.

D is wrong: Exporting raw material is not it.

28. Why is the act unethical?

Answer: D. He used non-public, price-sensitive information for unfair gain

Why correct: It is unethical because he used non-public, price-sensitive information for unfair gain.

A is wrong: Paying tax is not the issue.

B is wrong: Investing in shares is not wrong.

C is wrong: He did not follow the law.

29. Who should be held answerable in such a case, along with the chairman?

Answer: C. Directors and auditors who failed in their duties

Why correct: Directors and auditors who failed their duties are also answerable.

A is wrong: Customers are not answerable.

B is wrong: Competitors are not answerable.

D is wrong: Suppliers are not answerable.

30. Knowledge of business environment helps managers mainly in

Answer: A. Strategic planning and decision making

Why correct: Knowing the environment guides strategic planning and decisions.

B is wrong: Depreciation is accounting.

C is wrong: Payroll is HR/accounts.

D is wrong: Logo colour is a design detail.

31. The simplification and rationalisation of tax rates helped to:

Answer: D. Improve tax compliance and reduce complexity

Why correct: Simpler tax rates improve compliance and reduce complexity.

A is wrong: They reduce evasion.

B is wrong: Taxes are not abolished.

C is wrong: Quotas are not tax measures.

32. Giving shareholders a fair return and transparent reporting is a responsibility towards

Answer: A. Shareholders

Why correct: Fair returns and transparent reporting are duties towards shareholders.

B is wrong: Consumers want goods.

C is wrong: Suppliers want payment.

D is wrong: Community wants development.

33. Firms that continuously monitor their environment generally

Answer: B. Adapt better and improve performance

Why correct: Constant monitoring helps firms adapt and perform better.

A is wrong: They do not lose share because of it.

C is wrong: No firm avoids all risks.

D is wrong: Competition remains.

34. The Industrial Policy Resolution of 1956 classified industries into

Answer: B. Three schedules

Why correct: The IPR 1956 divided industries into three schedules.

A is wrong: Two is wrong.

C is wrong: Five is wrong.

D is wrong: Seven is wrong.

35. The advertisement violates which ethical principle most directly?

Answer: D. Honesty and transparency

Why correct: A false claim violates honesty and transparency.

A is wrong: Cost efficiency is unrelated.

B is wrong: Brand loyalty is unrelated.

C is wrong: Segmentation is unrelated.

36. Which expenditure does NOT qualify as CSR?

Answer: B. Activities meant exclusively for the company's own employees and families

Why correct: Activities only for the company's own staff do not count as CSR.

A is wrong: Women empowerment is CSR.

C is wrong: Health camps are CSR.

D is wrong: Tree plantation is CSR.

37. A hallmark on jewellery certifies the purity of

Answer: B. Gold

Why correct: A hallmark certifies the purity of gold.

A is wrong: Rice has other marks.

C is wrong: Medicines have other marks.

D is wrong: Cement has ISI.

38. The main motive of production in a capitalist economy is

Answer: C. Profit

Why correct: Capitalist producers are driven mainly by profit.

A is wrong: Social welfare is the socialist aim.

B is wrong: Equal distribution is the socialist aim.

D is wrong: Employment generation is not the main motive.

39. The authority concerned with food safety standards such as licence numbers is:

Answer: A. FSSAI

Why correct: FSSAI sets food safety standards and licences.

B is wrong: SEBI regulates securities.

C is wrong: TRAI regulates telecom.

D is wrong: IRDAI regulates insurance.

40. The inspector's decision to report, despite pressure, shows:

Answer: B. Integrity

Why correct: Reporting despite pressure shows integrity.

A is wrong: It is not disloyalty without cause.

C is wrong: It is not a profit motive.

D is wrong: It shows discipline, not lack of it.

41. The increase in the repo rate is an instrument of:

Answer: C. Monetary policy

Why correct: The repo rate is a central bank tool - monetary policy.

A is wrong: Fiscal policy is tax and spending.

B is wrong: Industrial policy covers industries.

D is wrong: Trade policy covers exports/imports.

42. The NITI Aayog replaced the Planning Commission in

Answer: C. 2015

Why correct: NITI Aayog replaced the Planning Commission in 2015.

A is wrong: 2010 is wrong.

B is wrong: 2005 is wrong.

D is wrong: 2018 is wrong.

43. The law governing such complaints, enacted in 2013, is the:

Answer: B. Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act

Why correct: The 2013 Sexual Harassment of Women at Workplace Act governs such complaints.

A is wrong: The Industrial Disputes Act handles industrial disputes.

C is wrong: The Payment of Wages Act handles wage payment.

D is wrong: The Consumer Protection Act protects consumers.

44. The rise in imported steel cost due to the weaker rupee is mainly a:

Answer: A. Macro-economic (external) factor

Why correct: The rupee's fall is an economic factor outside the firm - macro-economic and external.

B is wrong: It is not controllable by the firm.

C is wrong: It is a cost problem, not a strength.

D is wrong: It is not culture.

45. Fair compensation and rehabilitation for people displaced by a project reflects

Answer: D. Social responsibility towards the community

Why correct: Fair compensation and rehabilitation show social responsibility to the community.

A is wrong: It is not cost cutting.

B is wrong: It is not tax planning.

C is wrong: It is not lobbying.

46. Faster industrialisation after reforms has increased pressure on the

Answer: D. Environment through pollution and resource use

Why correct: Faster industry added pollution and resource pressure on the environment.

A is wrong: Money supply is monetary.

B is wrong: Language is unrelated.

C is wrong: Calendar is unrelated.

47. A qualifying company must spend on CSR at least ___ of its average net profits of the preceding three financial years.

Answer: B. 2%

Why correct: Eligible companies must spend at least 2% of average net profit of the last three years.

A is wrong: 1% is too low.

C is wrong: 5% is too high.

D is wrong: 10% is too high.

48. The payment to the municipal officer is an example of:

Answer: C. Bribery

Why correct: Paying an official to speed a permit is bribery.

A is wrong: A discount is a price cut.

B is wrong: A trade commission is a legitimate fee.

D is wrong: Sales promotion is marketing.

49. The uneven growth across regions after the reforms is a concern of:

Answer: D. Regional disparity

Why correct: Uneven growth across regions is regional disparity.

A is wrong: Perfect competition is a market form.

B is wrong: Full employment is not the issue.

C is wrong: A fiscal surplus is unrelated.

50. The Legal Metrology Act, 2009 regulates

Answer: D. Weights and measures used in trade

Why correct: The Legal Metrology Act regulates weights and measures in trade.

A is wrong: Stock exchanges are under SEBI.

B is wrong: Foreign exchange is under FEMA.

C is wrong: Environmental clearance is under EPA.